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11.8.2 Revenue receipt

Receipts which are obtained in the normal course of business are called revenue receipts. It is recurring in nature. The amount received is generally small.

Examples

- Proceeds from sale of goods
- Interest on investments received
- Rent received
- Dividend from investment in shares.

11.9 Distinction between capital and revenue receipts

Following are the main differences between capital and revenue receipts:

Basis	Capital receipts	Revenue receipts
i) Nature	Non-recurring in nature.	Recurring in nature.
ii) Size	Amount is generally substantial.	Amount is generally smaller.
iii) Distribution	These amounts are not available for distribution as profits.	The excess of revenue receipts over the revenue expenses can be used for distribution as profits.

Examples of capital and revenue items

Capital expenditure	Revenue expenditure	Deferred revenue expenditure	Capital receipts	Revenue receipts
i) Purchase cost of fixed assets ii) Purchase cost of long term investments iii) Expenses to increase the earning capacity of fixed assets iv) Loan given to outsiders	i) Maintenance expenses of fixed assets ii) Insurance premium iii) Postage and stationery iv) Administrative, selling and distribution expenditure	i) Heavy amount on advertisement. ii) Cost of major repairs on fixed assets	i) Life membership fees ii) Special donations received iii) Loan borrowed iv) Sale of fixed assets	i) Sale proceeds of goods ii) Commission received iii) Sale of old news paper iv) Rent received